Township of NIPISSING
"Life the way it should be" 1888

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REPORT TO COUNCIL

Date: February 27, 2024

From: Kris Croskery-Hodgins, Municipal Administrator

Re: Blue Box Program Transition to Full Producer Responsibility

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Recommendation:

That the Township of Nipissing Council receives this report for information.

Purpose:

The purpose of this report is to explain the transition of the provincial Blue Box Program to full producer responsibility, describe the key decisions required during the transition process and inform Council that staff are in discussions with Circular Materials regarding the transition of the Township of Nipissing's blue box recycling services on October 31, 2025. Staff will report back with results of the discussions and recommendations for the decisions that need to be made.

Background Information:

Blue Box Regulation:

On June 3, 2021, the Ontario Minister of Environment, Conservation and Parks approved Ontario Regulation 391/21 Blue Box under the Resource Recovery and Circular Economy Act, 2016. The regulation shifts the responsibility for collection, hauling, processing and marketing of blue box materials, including related promotion and education activity, from communities to producers of paper products, packaging, and packaging-like products. As a result, these producers will become fully financially and operationally responsible for the residential Blue Box Program. The Ontario Blue Box Program Transition Timeline can be viewed in Appendix A.

The intent of the regulation is to expand the residential Blue Box Program to all Ontario communities and most First Nation communities, standardize the list of blue box materials collected across the province, require minimum service levels, and establish diversion targets for blue box material. Resource Productivity and Recovery Authority (RPRA) is the regulatory body mandated by the Government of Ontario to enforce the province's circular economy laws and to oversee and monitor producer responsibility programs.

The regulation is being implemented in two phases:

1. Transition (July 1, 2023, to December 31, 2025) – this transition phase enables the producers to transition eligible communities and First Nation communities over a period of two and a half years.

2. Post-transition (starting January 1, 2026) – the full producer responsibility program comes into effect including targets and standardization of blue box materials.

The Township of Nipissing will transition on October 31, 2025, see Appendix B.

The regulation states what entities must be serviced by producers during the transition period and post transition. These entities are referred to as eligible sources. Eligible sources include:

- residential homes (permanent or seasonal)
- residential units in mixed use buildings
- multi-residential buildings (apartments and condominiums)
- schools (public and private, elementary to secondary, but not post-secondary)
- for-profit long-term care and retirement homes receiving community blue box collection (if service was received as of August 15, 2019)
- non-profit long-term care facilities and retirement homes
- public spaces (e.g., community parks, sidewalks)
- permanent or seasonal households within campgrounds and trailer-parks

Under the regulation, producers have no legal obligation to collect blue box material from non-eligible sources during or after transition as these sources are not captured in the Blue Box Regulation. Therefore, costs associated with providing collection to this sector (and related promotion and education (P&E), administration, and processing) will continue to be the responsibility of the Township of Nipissing.

Non-eligible sources include:

- industrial or commercial properties (not including residential units on the property),
- not-for-profit organizations,
- municipal buildings or facilities,
- daycares,
- places of worship (not including a residential home on the property)
- campgrounds and trailer-parks for temporary stay, and
- commercial farms (not including a residential home on the farm property).

Staff will be reporting back with recommendations for Council on whether to continue servicing non-eligible sources during and/or post transition.

Some of the options staff are considering include:

1) Continue co-collection of eligible and non-eligible source blue box material during transition if an arrangement is made with CM or the CM contractor
2) Provide separate collection to non-eligible sources during the transition period and/or post-transition, or
3) Terminate blue box service to non-eligible sources during and/or post transition.

Current Blue Box Service:

The following provides a high-level description of the Township's current blue box services.

Depots:

- 2 blue box depots, one at each landfill.
- Blue box depots in the Township are available for all property owners with a Landfill Entry Permit.
- Blue Box Program is provided by CANOR as provided in RFP-2021-Recycling. The contract is set to end on October 31, 2025. Items currently in the recycling streams include plastics, cardboard and glass.
- *Steel and tin are collected by AIM Recycling and the municipality receives the revenue generated from those materials.

Currently, the Township of Nipissing pays the costs to collect, haul and process blue box materials. The Township's 2022 blue box costs were $70,285.60 as submitted to the provincial Datacall. Under the current Blue Box Program, producers are required to pay approximately 50% of net blue box operating costs through quarterly payments from Stewardship Ontario. For Ontario communities to receive financial compensation, they must submit annual data to the provincial Datacall. In the last Datacall reporting year, the Township received $30,598.52 from Stewardship Ontario, representing approximately 50% of our blue box program costs.

Producer Responsibilities and Community Options:

Producers of blue box materials (paper products, packaging and packaging-like products) typically sign up with a Producer Responsibility Organization (PRO) to help them carry out their regulatory obligations under the Blue Box Regulation.

The PRO administering the new residential Blue Box Common Collection System (CCS) in Ontario is Circular Materials (CM), which represents most producers of blue box materials. CM has assumed responsibility for overseeing and managing procurement for the collection, promotion and education, and receiving/consolidating of blue box materials. Individual PROs are responsible for processing and marketing blue box materials. All Ontario communities must engage with CM to establish their new blue box system which starts on their transition date.

The Township of Nipissing will need to decide between two options that are only applicable during the transition period (until December 31, 2025):

- Option 1: Opt-in and continue to operate the blue box program on behalf of CM,
- Option 2: Opt-out and hand over full operational responsibility of the blue box program to CM. CM will procure a service provider to ensure residents continue to receive blue box service.

It is important to note that the Township can choose different options for curbside blue box service and depot blue box service.

Over the coming months, staff will present more information and recommendations to Council regarding the two options, including service and financial implications.

Option 1: Opt-in and provide service as a contractor for CM

All communities have access to agreements on CM's website to provide collection and P&E services as a contractor for CM during the transition period. Service to non-eligible sources may continue under this option with the full cost being paid by the community. If the community chooses this option, blue box operating costs and payment for providing this service from CM will be included in the community budget.

Staff is currently reviewing the applicable agreements and seeking clarity from CM on financial information to determine whether it is in the Township's best interest to pursue an opt-in agreement.

The Eligible Community Depot Operations Agreement is currently being reviewed and relevant data on Blue Box depot collection is being provided to CM.

Option 2: Opt-out and hand over full operational responsibility of the blue box program

CM assumes full operating and financial responsibility for blue box service delivery and procures/manages the service provider.

Depot service - If a depot only community opts out, CM may choose to operate the blue box depot(s) at a different location(s) which may not be as convenient for residents. In addition, CM will not allow non-eligible sources to access their designated depot(s) so the Township would have to arrange and pay for collection, hauling and processing services for non-eligible sources. There may be an opportunity to allow a CM contractor to access our depot location(s), but this would require negotiating a site access agreement or lease to allow a CM contractor to manage blue box services on site. Staff would need to explore this opportunity with CM in advance.

This option does not appear to be in the best interest of the residents of the Township and may be an additional resource burden on staff.

Next Steps

CM has requested that all transitioning communities decide whether they wish to opt-in or opt-out of providing blue box services well in advance of their transition date. Therefore, staff is reviewing the applicable agreements and seeking clarity from CM on financial information to determine whether it is in the Township's best interest to pursue an agreement or hand over operations of the blue box program to CM.
Staff will pursue discussions with CM and report back to Council once information has been confirmed, with recommendations regarding managing blue box materials including anticipated financial implications through the transition period and beyond.

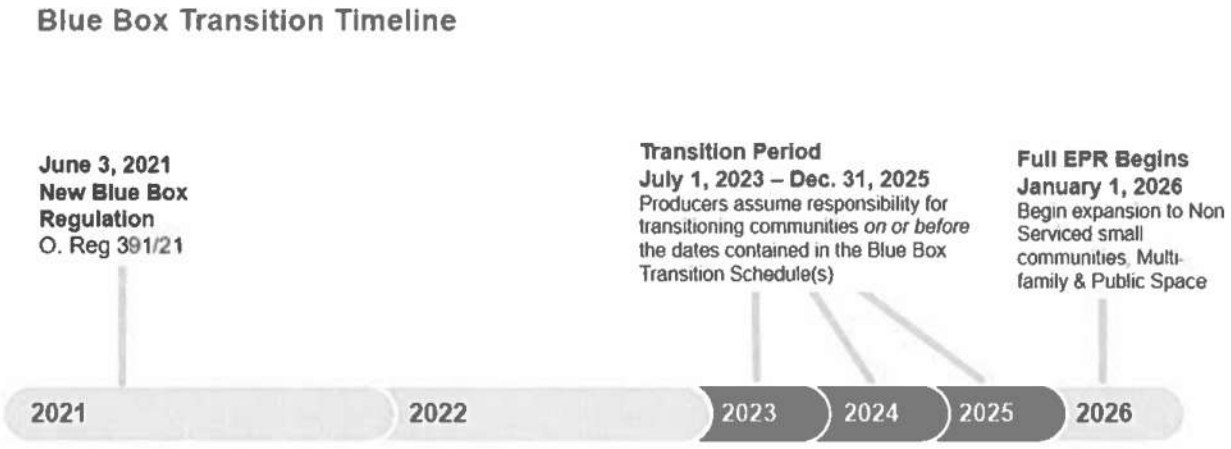
Respectfully,

Kris Croskery-Hodgins, Municipal Administrator

Appendix A: The Ontario Blue Box Program Timeline

1994	Ontario Regulation 101/94 under the Environmental Protection Act set out requirements for communities with a population of at least 5,000 to establish and operate curbside Blue Box Programs.
2002	The Waste Diversion Act (WDA) formalized financial support by requiring producers of printed paper and packaging managed by the Blue Box Program to fund up to 50% of community net operating costs. Waste Diversion Ontario (WDO) was established as a non-crown corporation to develop, implement and operate waste diversion programs, including Blue Box. Stewardship Ontario (SO), was created as an industry organization to represent producers and to develop the Blue Box Program Plan.
2016	The Waste-Free Ontario Act is passed and repeals the former WDA and enacted the Resource Recovery and Circular Economy Act (RRCEA) and the Waste Diversion Transition Act (WDTA). The RRCEA introduces a framework where producers are given full responsibility for the management of post-consumer waste from their packaging. Under this act, the WDO was replaced by a new organization, the Resource Productivity and Recovery Authority (the Authority). The legislation also affected existing producer responsibility programs for tires, electronics and hazardous waste, all of which are at varying degrees of transition and allowed for the creation of new programs.
2017	The Minister of the Environment and Climate Change directed the Authority and SO to jointly develop a proposal for an amended Blue Box Program Plan (a-BBPP). A draft was developed and two phases of consultations were completed. A final proposal was never submitted to the Ministry.
2019	In June, the Province appointed a Special Advisor on Recycling and Plastic Waste, David Lindsay, to provide advice on how to improve recycling through the Blue Box Program and better manage plastic pollution. Mr. Lindsay facilitated meetings between representatives of the community and producer sector to provide input. In July, the report was released, titled "Renewing the Blue Box: Final Report on the blue box mediation process". In August, the Ministry announced that it provided SO direction to begin planning to transition Ontario's Blue Box Program to full producer responsibility.
2020	Stewardship Ontario was required to submit a plan to the Authority by June 30, 2020. The Authority approved the plan on December 16, 2020.
2021	On June 3, 2021 the Ontario Regulation 391/21 Blue Box, was filed setting out the FPR requirements for producers of blue box materials to meet.
2023-25	The first communities began transitioned on July 1, 2023, with all communities in the province scheduled to be operating under the new framework by December 31, 2025

Appendix B: Community's Blue Box Transition Timeline



The township of Nipissing will transition on October 31, 2025.